

sideways at the same time and you would simply not have any diversification. You either have a big beta bet on, or you don't.

When stocks rule the roost, you'll be flying high. After all, you would be just long stocks in a strong bull market. But that's hardly trend following; that's just a variation of a buy and hold and hope for the best. When the markets get choppy, pulling back a bit only to continue back up, you'll quickly be left behind. You'll start stopping out at the worst point and fail to keep up with the index.

In sideways markets, you'll take hit after hit and bleed money. Month after month, perhaps even year after year, you will keep losing. That's what happens in sideways markets when you apply trend-following models, and that's the reason why proper trend following trades multiple asset classes. While one asset class experiences sideways market conditions, others are likely to trend. That's why futures trend following has worked so well for so many years.

But worse still will be the bear markets. Equity bear markets are notoriously tricky. They tend to be sharp, sudden, and prone to violent counter-moves. You'll make money fast and then lose it and more before you know what hit you. What we have seen empirically is that during bear markets, it's not the short equity positions that provide the most valuable protection. It's rather the trend-following positions in rates, commodities, and currencies.

After we get over the whole concept of having little to no diversification, we have the next obstacle to deal with. Instead of a limited universe of fifty to a hundred futures markets, we now have tens of thousands of stocks to pick from. Running a trend model that just selects trending stocks from that many markets would pose some interesting problems. How large a portfolio are you willing to accept? A hundred positions? A thousand?

You need a way of limiting the pool of stocks you pick from or you will get overwhelmed. You will also need a way to rank your stocks, based on some criterion. If you don't, you will end up having nearly the entire investment universe flag buy signals in a bull market.

With futures, you can take on almost any exposure level, given the built-in leverage mechanism. Face value exposure can be nearly irrelevant in terms of risk. After all, a million-dollar position in platinum carries a very different risk profile than a million-dollar exposure to the three months Eurodollar market. With futures, leverage is easy and cheap. Not so with stocks, where it gets really expensive to borrow for exposure over 100% of your portfolio.